

Olevel

Chp:- Inflation

Effects of inflation



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Inflation is the persistent and sustained increase in general price level over a given period of time!

↓ Pakistan ↓

$X \text{ prices} \uparrow$ $m \text{ prices} \downarrow$
 $X \text{ Qty} \downarrow$ $m \text{ Qty} \uparrow$
 $X(TR) \downarrow$ $m(TE) \uparrow$
 Balance of Trade:- deficit
 $m(TE) > X(TR)$ (#2)

Inflation

↓
Prices ↑ ↑ ↑ ↑ ↑
Consumption ↓
Aggregate demand ↓
Production ↓
Demand for labour ↓
Unemployment ↑ (#1)

⇒ value of money (Purchasing power)

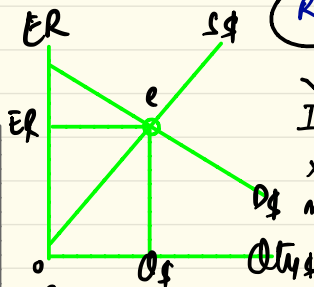
FOREX!

Foreign exchange market

↓
currency!

$D = S \leftarrow$
 consumers and
 producers
USA

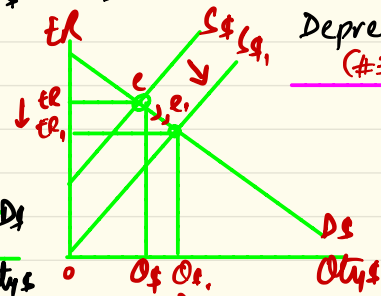
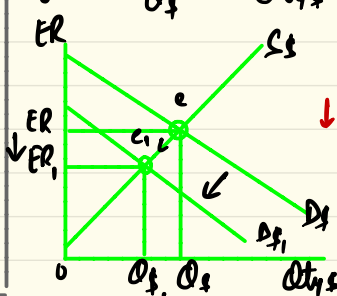
Pakistan



Inflation

$X \text{ prices} \uparrow \rightarrow X(TR) \downarrow \rightarrow D_{Rs} \downarrow$
 $m \text{ prices} \downarrow \rightarrow m(TE) \uparrow \rightarrow S_{Rs} \uparrow$
 $D_{Rs} \downarrow + S_{Rs} \uparrow \Rightarrow \text{value} \downarrow$

Depreciation!
(#3)



Note:- When we export our goods, foreigners have to pay us, for which they have to purchase our currency to pay us, thus they will demand for our currency!
 When we import goods, we have to pay in terms of other currency, for which we have to sell our currency (Supply) and purchase other country's currency!

Note:- Exchange rate, rate at which one currency is exchanged in terms of another, e.g. \$1: £2!

Exchange rate, rate at which one currency is exchanged in terms of another, e.g. $\$1 = \pounds 2$!

Exchange rate $\uparrow \longrightarrow$ Appreciation

Exchange rate $\downarrow \longrightarrow$ Depreciation

$\nearrow$ Rise in the value of country's currency!

Appreciation $\longrightarrow$ $\times$ price $\uparrow$, M prices $\downarrow$ (relative)

Depreciation $\longrightarrow$ $\times$ price $\downarrow$, M price $\uparrow$ (relative)

$\searrow$ Fall in the value of country's currency!

★ $\text{Real income \%} = \text{Nominal income \%} - \text{Inflation \%}$

purchasing power as
it is adjusted with inflation

+ 5% ⇒ 10% - 5%

- 5% $\Rightarrow$ 10% - 15%

If nominal income is greater than inflation rate, real income will increase. If inflation is rising at faster rate than nominal income, real income will reduce!

* Real interest rate % = Nominal % - Inflation %

$$+5\% = 10\% - 5\%$$

$$-5\% = 10\% - 15\%$$

If Bank offers interest rate greater than the inflation rate, in real terms, value of money is protected

- * Pension earners - Fixed amount received by them and if prices are increasing at faster rate, with time they will be able to purchase less and less than before!

* **Lenders and Borrowers** — Borrowers are on the advantageous side at time of inflation as they have return less in terms of value of money, but when the lender receives it, less will be purchased comparing to the time before. Therefore lender lends at an interest rate greater than inflation rate.

* menu cost - Printing cost - with inflation, prices keeps on changing and affects cost and thus changes selling price, with reprinting of menus, cost increasing which further increases the price at a faster rate.

* Shoe and leather cost - Individuals saves in different ways and also at different places. At times of inflation all saving and investment gets affected, so to gather them back and reinvest it in accordance to inflation, will take time, which causes value of money to reduce!

Inflation affects functions of money:-

When prices of goods and services increase, people are able to buy lesser amount of goods and services with the given amount of income i.e. the purchasing power of money falls. This in turn affects functions of money and may lose its significance to exist.

One of the important functions of money is medium of exchange. Money has made transactions very easy as it is generally accepted as a medium of payments. When the purchasing power of money falls as a result of inflation, the seller receives money with lesser purchasing power, so he will be reluctant to accept money as a medium of payments. Such a situation arose in Germany during and after the two world wars, when people started exchanging goods with the goods.

Another important function is standard of deferred payments i.e. selling goods on credit basis. During high inflation the creditors receive money with lesser purchasing power so they are not willing to sell goods on credit during rapid inflation.

Money also performs as store of value. When a person saves money, he stores value or purchasing power which can be used in future. But savers are discouraged to save when the value of their saved money is rapidly eroded due to high inflation.

Unit of Account, people and businesses can keep record of their transactions because they are in monetary terms. They can calculate the value of their assets or wealth in money terms. But due to inflation, price continue to rise, and all past calculation become invalid. So money loses its function of unit of account at time of inflation.

Questions

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